

Sardar Mini Rice Mill v. State of U.P.

High Court of Judicature at Allahabad, Lucknow Bench · Division Bench · 9 September 2022 · Writ-C No. 6145 of 2022
 · **Consent disposal; load enhancement directed on deposit, subject to appeal**

HEADNOTE

A rice mill's load-enhancement application was withheld for arrears of a theft assessment under clause 4.43(e) of the U.P. Electricity Supply Code, 2005. The mill had appealed under section 127 after the statutory deposit; the appeal was dismissed in default and a recall was pending. The Court recorded that filing such an appeal bars disconnection, while dismissal in default revives recovery of the finally assessed sum unless the appeal is restored. On consensus, the mill is to deposit within two weeks the balance of the assessment dated 25 January 2021, subject to the appeal, and the Corporation shall then enhance the load and regulate supply on regular bills. The sum paid abides by the appeal. The writ was disposed of on that consensus.

FACTUAL SUMMARY

Sardar Mini Rice Mill, through its proprietor Manjeet Singh, applied to U.P. Power Corporation for enhancement of load. The Corporation refused to consider the application until arrears of an assessment for theft of electricity, said to be due under clause 4.43(e) of the Electricity Supply Code, 2005, were paid. The mill had already appealed that assessment under section 127 after making the statutory deposit. The appeal was dismissed in default on 28 February 2022. A recall application was filed on 28 March 2022. The assessment order is dated 25 January 2021.

REUSABLE CONSTRUCTIONS

1. Once a section 127 appeal is filed with the statutory deposit, the licensee may not disconnect supply on the theft assessment; dismissal of that appeal in default revives the right to recover the finally assessed amount unless the appeal is restored. ¶ 1
2. Load enhancement withheld for arrears under clause 4.43(e) proceeds on deposit of the balance of the final theft assessment within the time fixed, the deposit remaining subject to the pending section 127 appeal, after which supply is regulated on regular bills. ¶ 1

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

Deposit on a section 127 appeal, default dismissal, and recovery

HOLDING

Once an appeal against the theft assessment is filed with the statutory deposit, the authorities may not disconnect supply. Civil liability for the theft remains pending in that appeal. Dismissal of the appeal in default entitles the Corporation to recover the amount finally assessed unless the appeal is restored. The sum the consumer deposits toward the assessment dated 25 January 2021 abides by the outcome of the pending appeal. The order styles the provision as section 127 of the U.P. Electricity Act, 2003. ¶ 1

HOLDING-UNIT · UP-2005::4.43

Load enhancement withheld for theft-assessment arrears

HOLDING

The licensee treated clause 4.43(e) as barring consideration of load enhancement until theft-assessment arrears were paid. On the parties' consensus the consumer shall, within two weeks, deposit the balance of the amount finally assessed on 25 January 2021, subject to the appeal. The Corporation shall thereupon enhance the load as prayed and regulate supply on payment of regular bills. ¶ 1

recovery-of-assessment-stayed-pending-s127-appeal Filing the section 127 appeal with the statutory deposit bars disconnection on the theft assessment. Dismissal of that appeal in default on 28 February 2022 revives recovery of the finally assessed amount unless the recall succeeds and the appeal is restored. ¶ 1

no-writ-interference-with-s127-appellate-quantum The writ does not reassess or reduce the theft demand of 25 January 2021. The residual amount is to be deposited, and that payment abides by the outcome of the pending section 127 appeal. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND QUANTUM OF THE THEFT ASSESSMENT DATED 25 JANUARY 2021

Left to the pending section 127 appeal; the deposit abides by its outcome. ¶ 1

NOT DECIDED — WHETHER THE APPEAL DISMISSED IN DEFAULT ON 28 FEBRUARY 2022 IS RESTORED

The recall application filed on 28 March 2022 was not decided. ¶ 1